

Multiple Choice

1. **Answer:** A

Options: A) Deadweight loss exists; B) Perfect competition; C) Price taker; D) Many sellers and buyers; E) High barriers to entry

Note: Correct option: A - Deadweight loss exists

2. **Answer:** E

Options: A) A decrease in the cost of tuba-making materials; B) An increase in the number of graduates at tuba maker training school; C) An increase in the tax on tubas; D) An increase in the number of tuba maker training schools; E) An increase in the price of tubas

Note: Correct option: E - An increase in the price of tubas

3. **Answer:** A

Options: A) Differences in taxation policies between economies; B) The inclusion or exclusion of foreign direct investment; C) absence of investment; D) Variances in the level of technological advancement; E) Variations in the savings rate of the population

Note: Correct option: A - Differences in taxation policies between economies

4. **Answer:** A

Options: A) It introduced mandatory profit sharing between employers and employees; B) It obligated employers to bargain in good faith with a union; C) It outlawed company unions; D) It created a universal pension system for all workers regardless of employer contributions; E) It allowed for automatic union membership for all employees in a workplace

Note: Correct option: A - It introduced mandatory profit sharing between employers and employees

5. **Answer:** A

Options: A) Personal investments in real estate; B) Buying of stocks and bonds; C) Depreciation of capital; D) Transfer of ownership of existing assets; E) Government spending on infrastructure projects

Note: Correct option: A - Personal investments in real estate

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Increase government spending with no change in taxes.'

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'the overall national economy and its growth.'
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Economic Costs = Explicit Costs plus Implicit Costs.'

Long Form Response

11. **Answer:** The opportunity cost of studying is \$6, which is equal to the benefit received from studying.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** The Dickey-Fuller test. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key